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Case Number: 26STCV05316 Hearing Date: June 23, 2026 Dept: 529

WORLD KARMA, LLC, ET AL. VS SEKO WORLDWIDE, LLC

DEMURRER

Date

of Hearing: June 23, 2026 Trial Date: None

set

Department: 529 Case No.: 26STCV05316

Moving

Party: Defendant/Cross-Complainant

Seko Worldwide, LLC

Responding

Party: Plaintiff/Cross-Defendants World Karma, LLC, Street Turn Drayage USA

LLC, Pixior, LLC, 26 Center Distribution, LLC and Yassine Amallal

Meet

and Confer: Yes. (Brines Decl.)

BACKGROUND

On February 17, 2026, Plaintiffs World Karma, LLC, Street Turn Drayage USA LLC, Pixior, LLC, 26 Center Distribution, LLC and Yassine Amallal filed a complaint against Defendant Seko Worldwide, LLC for breach of contract, interference with contract, intentional interference with prospective economic advantage, negligent interference with prospective economic advantage, conversion, and intentional infliction of emotional distress.

On March 25, 2026, Seko Worldwide LLC filed a cross-complaint against World Karma, LLC, Street Turn Drayage USA LLC, Pixior LLC, and Yassine Amallal for breach of contract including the implied covenant of good faith and fair dealing, intentional interference with contract, intentional interference with prospective economic advantage, violation of California Business and Professions Code section 17200, et seq., and negligent interference with prospective economic advantage.

[TENTATIVE]

RULING

Defendant/Cross-Complainant Seko Worldwide, LLC’s Demurrer is SUSTAINED WITH LEAVE TO AMEND.

DISCUSSION

Defendant/Cross-Complainant Seko Worldwide, LLC demur to the complaint of Plaintiffs World Karma, LLC ("World Karma"), Street Turn Drayage USA LLC ("Street Turn"), Pixior, LLC ("Pixior"), 26 Center Distribution, LLC ("26 Center"), and Yassine Amallal ("Amallal") on the grounds Plaintiffs fail to state facts sufficient to constitute their first through seventh causes of action for breach of contract, interference with contract, intentional interference with prospective economic advantage, negligent interference with prospective economic advantage, conversion, and intentional infliction of emotional distress.

A demurrer for sufficiency tests whether the complaint states a cause of action.¿ (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)¿When considering demurrers, courts read the allegations liberally and in context.¿ (Wilson v. Transit Authority of City of Sacramento (1962) 199 Cal.App.2d 716, 720-21.)¿In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice.¿(Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.)¿"A demurrer tests the pleading alone, and not on the evidence or facts alleged." (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations. (Id.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn, supra, 147 Cal.App.4th at 747.) Before filing a demurrer, demurring party is also required to meet and confer with the party who filed the pleading demurred to for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (See CCP § 430.41.)

First Cause of Action

Defendants demur to the first cause of action for breach of contract, including breach of implied covenant on the grounds Plaintiffs have not alleged a breach of any express contractual provision, and they cannot allege a claim for breach of the implied covenant of good faith and fair dealing that is untethered to any contractual provision.

“The standard elements of a claim for breach of contract are: ‘(1) the contract, (2) plaintiff’s performance excuse for nonperformance, (3) defendant’s breach, and (4) damage to plaintiff therefrom.’” (Wall Street Network, Ltd. v. New York Times Co. (2008) 164 Cal.App.4th 1171, 1178.)

Defendants argue Plaintiffs do not allege any specific facts concerning breach of an express provision of the Agreement or resulting damages from such a breach. Rather, Plaintiffs’ allegations about the Agreement requiring SEKO to turn over certain equipment, accounting software and email accounts are untethered to any express contractual provision. Moreover, Plaintiffs have failed to allege how any of these actions affect any express contractual terms or the overall spirit of the parties' agreement.

The court finds Plaintiffs have failed to allege a claim for breach of contract. As noted by Defendants, the complaint does not allege a breach of any express provision of the Securities Purchase Agreement. Moreover, "'[t]he implied covenant of good faith and fair dealing is limited to assuring compliance with the express terms of the contract, and cannot be extended to create obligations not contemplated by the contract.'" (Pasadena Live v. City of Pasadena (2004) 114 Cal.App.4th 1089, 1094.) In this matter, the SPA was an equity purchase. However, the complaint is based on Seko's failure to turn over equipment, email mailboxes and accounting records.

Accordingly, the demurrer is SUSTAINED WITH LEAVE TO AMEND.

Second Cause of Action

Defendants demur to the second cause of action on the grounds Plaintiffs do not allege that Seko's conduct was intended to induce a breach of an agreement between Plaintiffs and any third party or that any actual breach, disruption, or economic harm ever occurred.

"The elements which a plaintiff must plead to state the cause of action for intentional interference with contractual relations are (1) a valid contract between plaintiff and a third party; (2) defendant's knowledge of this contract; (3) defendant's intentional acts designed to induce a breach or disruption of the contractual relationship; (4) actual breach or disruption of the contractual relationship; and (5) resulting damage." (Pac. Gas & Elec. Co. v. Bear Stearns & Co. (1990) 50 Cal. 3d 1118, 1126.)

Defendants argue Pixior fails to allege intentional acts by Seko meant to induce a breach or any actual breach by the customers. Defendants contend Pixior includes a single, conclusory "throw-away" allegation that this conduct by Seko "prevented performance of these contracts or made performance more expensive or difficult." (Compl. ¶53.) However, Pixior offers no factual allegations to support this conclusion and Pixior's conclusory re-stating of the elements of this cause of action is not enough to survive demurrer.

The court finds Plaintiffs have failed to allege a claim for interference with customer contractors. As noted by Defendants, the complaint fails to allege Seko's purpose was to disrupt Pixior's customer contracts. The complaint at most alleges Seko engaged in a ruse by sending out bills in its own name for work done by Pixior and holding customer goods hostage until the customers paid Seko. Plaintiff has not alleged sufficient facts to show actual breach or disruption.

Accordingly, the demurrer is SUSTAINED WITH LEAVE TO AMEND.

Third and Fourth Causes of Action

Defendants demur to the third and fourth causes of action for intentional and negligent interference with prospective economic relations on the grounds Plaintiffs do not allege that SEKO's conduct was intended to induce a breach of an agreement between Plaintiffs and any third party or that any actual breach, disruption, or economic harm ever occurred nor do they allege Seko's conduct was done without due care to induce a breach of an agreement between Plaintiffs and any third party or that any actual breach, disruption, or economic harm ever occurred.

In order to prevail on a cause of action for intentional interference with prospective economic advantage, a plaintiff must show: (1) an economic relationship between plaintiff and another that has a probability of future economic benefit; (2) defendants' knowledge of the relationship; (3) intentional, wrongful conduct designed to interfere with the relationship; (4) disruption; and (5) damages. (Della Penna v. Toyota Motor Sales, U.S.A., Inc. (1995) 11 Cal. 4th 376, 380, fn. 1, 392-393.) The tort of negligent interference with prospective economic advantage differs only in that the defendant's act disrupting the economic relationship does not need to be intentional, but rather, done without due care. (N. Am. Chem. Co. v. Super. Ct. (1997) 59 Cal. App. 4th 764, 786.)

Defendants argue the conclusory allegation that “[t]hese relationships probably would have resulted in economic benefit to Pixior” are not enough. Moreover, Pixior has not alleged facts that would allow one to reasonably assume those relationships were likely to continue into the future with an expectation of prospective benefit but for Seko’s alleged interference. Additionally, Pixior’s failure to allege any factual support for its conclusory statements that its “relationships actually were disrupted” renders these claims insufficient as a matter of law and Pixior’s claims for intentional and negligent interference with prospective economic relations fail for the additional reason that it has not alleged that Seko’s interference was independently wrongful.

The court finds Plaintiffs have failed to allege a claim for intentional interference with prospective economic relations or negligent interference with prospective economic relations. As noted by Defendants, the interference with prospective economic advantage tort requires proof that an economic relationship hold the promise of future economic advantage. (See Westside Center Associates v. Safeway Stores 23, Inc. (1996) 42 Cal.App.4th 507, 522.)

It is not enough to infer from the allegations a “probability” of future economic benefit by just alleging Pixior had actual, existing contractual relationships. Moreover, for the reasons discussed above, Plaintiffs have not sufficiently alleged that the relationships were actually disrupted.

Accordingly, the demurrer is SUSTAINED WITH LEAVE TO AMEND.

Fifth and Sixth Causes of Action

Defendants demur to the fifth and sixth causes of action on the grounds that the complaint fails to state facts sufficient to constitute a cause of action.

To plead a cause of action for conversion, one must allege (1) the plaintiff’s ownership or right to possession of personal property; (2) defendant’s disposition of the property inconsistent with plaintiff’s rights; and (3) resulting damages. (Fremont Indemnity Co. v. Fremont General Corp. (2007) 148 Cal.App.4th 97, 119.)

Defendants argue Plaintiff Pixior’s allegations that Seko interfered with Pixior’s ownership right to (i) certain company receivables; (ii) email mailboxes and company records; and (iii) system scanners is contradicted by the complaint as they admit that Seko owned Pixior before the sale. Moreover, “the simple failure to pay money owed does not constitute conversion.” (Kim v. Westmoore Partners, Inc. (2011) 201 Cal. App. 4th 267, 284.) Here, Pixior has not alleged any specific, identifiable sum of money that was purportedly converted. Defendants lastly argue that Plaintiffs' claims are barred by the Economic Loss Rule.

The court finds Plaintiffs have failed to allege both conversion causes of action. When money is the subject of the conversion claim, it must involve a specific identifiable sum. (See McKell v. Washington Mutual, Inc. (2006) 142 Cal.App.4th 1457, 1491.) The complaint has failed to do so. Moreover, Plaintiffs have not alleged facts establishing that Seko actually exercised dominion over this property or that items "missing" constitute conversion. As for the economic loss rule, the court agrees the allegations do not go beyond the breach of contract claim.

Accordingly, the demurrer is SUSTAINED WITH LEAVE TO AMEND.

Seventh Cause of Action

Defendants demur to the seventh cause of action for intentional infliction of emotional distress on the grounds Plaintiffs do not set forth allegations to satisfy the high burden of showing that SEKO's business-related conduct was so extreme that it exceeded all bounds of what would be tolerated in a civilized society.

The elements of an intentional infliction of emotional distress cause of action are: (1) extreme and outrageous conduct by the defendant; (2) intention to cause or reckless disregard of the probability of causing emotional distress; (3) severe emotional suffering; and (4) actual and proximate causation of the emotional distress. (See Moncada v. West Coast Quartz Corp. (2013) 221 Cal.App.4th 768, 780; Wilson v. Hynek (2012) 207 Cal.App.4th 999, 1009.) To satisfy the element of extreme and outrageous conduct, defendant's conduct "'must be so extreme as to exceed all bounds of that usually tolerated in a civilized society.'" (Moncada, supra, 221 Cal.App.4th at 780 (quoting Trerice v. Blue Cross of California (1989) 209 Cal.App.3d 878, 883).)

Defendants argue Amallal provides no explanation as to how his decision to repurchase his own company—a decision he made of his own volition and free will—exceeds all bounds of civilized society or caused him distress so extreme that no reasonable person would be able to endure it. Even taking Amallal's allegations as true and assuming Seko did have some retaliatory motive for convincing him to buy Pixior back, a retaliatory motive alone is insufficient to sustain a claim for intentional infliction of emotional distress.

The court finds the allegations insufficient. As noted by Defendants, termination of business relationships are not the type of outrageous conduct required to support a cause of action for IIED. (See Unterberger v. Red Bull North America, Inc. (2008) 162 Cal.App.4th 414, 423.) Here, the allegations of threatening to put 350 employees out of work and persuading Amallal to require and revitalize the business is not sufficient.

Accordingly, the demurrer is SUSTAINED WITH LEAVE TO AMEND.